

the stock markets rallied, the trend-following futures models still hold up really well and show strong long-term outperformance.

The astute reader might at this point ask about the dividends you would have received on the stocks if you had bought and held the index constituents for this time, and whether this would not make the equity index perform better in real life. The answer is simple: no. The MSCI World data I present here is the total return series, and so the dividend effect is already included.

So let's look at the second index, Barclay's BTOP 50. This shows a solid long-term performance, which speaks in favour of these types of strategies of course. It compounded at about 5%, despite the clear underperformance of the futures markets in the past years. The worst drawdown suffered was a little over 17%, which seems quite reasonable, given the annual return number. Keep in mind, of course, that this is an index consisting of the performance of many diversified futures traders and so the volatility is naturally lower than most of the individual constituents. Compare the return profile of the BTOP and the MSCI indices in Figure 4.4 and you can see that the managed-futures index provides a much smoother return, which remains stable through good and bad years for the stock market. It is not prone to the large declines as the equity index is.

To compare against the big guys in the business, I include two managed-futures houses that have been around for quite some time and are highly respected in the business. Millburn has had a compounded annualised return since inception of around 14% since 1977, which would beat pretty much any benchmark you throw at it. Dunn has been around since 1984 and compounded around 13% since then. There are many top-notch trend-following managers out there, and we'll look closer at them later on, but for now these two will have to represent the competition in our initial comparisons. For full disclosure, I don't get paid, directly or indirectly, by any fund or similar to say nice things in this book, but in case you manage a hedge fund and would like me to mention it in my next book you should know that I'm partial to gold bars and Audemars Piguet watches.

So, how did our two test strategies fare against the indices and the big competitors? The moving average strategy compounded at 18% with a worst drawdown of 64% and the breakout strategy yielded 24.5% annualised while having a max drawdown of 60%.

Those are some pretty hefty drawdowns and that shows the dangers of running such naïve strategies. Clearly a drawdown of 60% can be the death of any portfolio and measures must be taken to avoid such events. What is